IBIDEN Co., Ltd.

Full investment research | Model assumptions and source evidence

1amInvesting | Full company research | Framework 8.0

Ibiden

4062.T | Tokyo Stock Exchange Prime | 2026-10-12

Q4 2027 model ceiling: JPY 8,437.07

Analytical Base 47/60 = 78 | Bottleneck supplier; valuation-constrained Watchlist

20x rolling quarter-plus-next-three fully expensed operating profit attributable to common shareholders, including idle-factory depreciation, less end-window net financial claims, divided by matched end-window if-converted shares on the October 2026 split basis.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in JPY million and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Retained dated market snapshot: JPY 11,515.00 per share (2026-10-09 15:30 JST regular close, afterOct1 two-for-one split); 565.278 million common shares (July31 issued count including 1.627210M July new pre-split shares; June treasury unchanged proxy; all x2 for October1); estimated equity capitalization JPY 6,509,173.2 million. Known July issuance added, last disclosed treasury retained; unconverted CB excluded. June equivalent562.023320+July3.254420=565.277740. RemainingCBface62,000-7,300=54,700m at2243.1 adds24.3858992M: total589.6636392M unchanged. This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: no positive modeled upside at the dated 2026-10-09 15:30 JST regular close, afterOct1 two-for-one split price of JPY 11,515.00, so the Upside Driver split is unavailable.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	235,072.8	20x	592.616	8,437.07

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. The existing funding function rebuilds one adopted cash, tax, working-capital, advances and debt path from those weighted operations. The valuation then matches end-window financial claims and if-converted shares; no joint-state equity-floor mixture is used.

Economic scope and matching claims

Ordinary R&D, production D&A and idle-facility depreciation are expensed. A 0.6% minority operating allocation is deducted once. Customer advances are financing cash receipts used up on delivery, never a second sales source or permanent excess cash. Convertible liability removal is matched to full dilution, including both 2026 stock splits.. 20x rolling quarter-plus-next-three fully expensed operating profit attributable to common shareholders, including idle-factory depreciation, less end-window net financial claims, divided by matched end-window if-converted shares on the October 2026 split basis.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use JPY million unless a different unit is stated.

Thesis

October 12, 2026 pricing/funding revision; the latest issuer financial records reviewed remain May 12 and August 5. Tokyo common shares, 4062.T. JPY financials and post-October 1, 2026 split share basis. Initial research coverage authorized by the owner; covered does not mean held.

Conclusion and what is already priced

Ibiden has one of the clearest links between AI packaging complexity and company pricing power. Its August management commentary attributes most of a ¥26.5bn profit contribution to ASP rather than simply more shipments. That is stronger evidence than an industry capex chart. Large packages, more build-up layers, bridge connections and limited qualified output can raise revenue and profit per good substrate.

The business can be strong while the modeled return is unattractive. The October 9 Tokyo close was ¥11,515. At the 20x fully expensed rolling operating-profit method, the Q4 2027 ceiling is approximately ¥8,437, about 0.73x the dated October9 price. The score does not override valuation. This is not presented as a positive growth/re-rating upside split: the user's heuristic returns unavailable when the active horizon target is below the share price.

The research supports a analytical Base of 78, with a substantial valuation gap. A different multiple would change the answer, but the model does not silently increase its initial 20x convention to manufacture upside. Nor does a current share-price rally become evidence for a customer award.

What the substrate does

An IC package substrate connects an advanced chip package to the system board, routes power and signals, and controls mechanical and thermal behavior. More connections, higher current, greater area and finer features make consistent manufacturing harder. A large substrate that warps or fails electrical tests has little economic value even if the factory can print it.

The May roadmap shows substrate dimensions progressing from 90x90mm in 2026 to 110x110mm in 2028 and above 130x130mm around 2030. SAP build-up structure moves from 10-X-10 to 12-X-12 and later 14-X-14. The core and bridge-interconnection challenges affect yields and cost. These are company roadmap figures, not proof that every GPU or ASIC program has awarded Ibiden a fixed share.

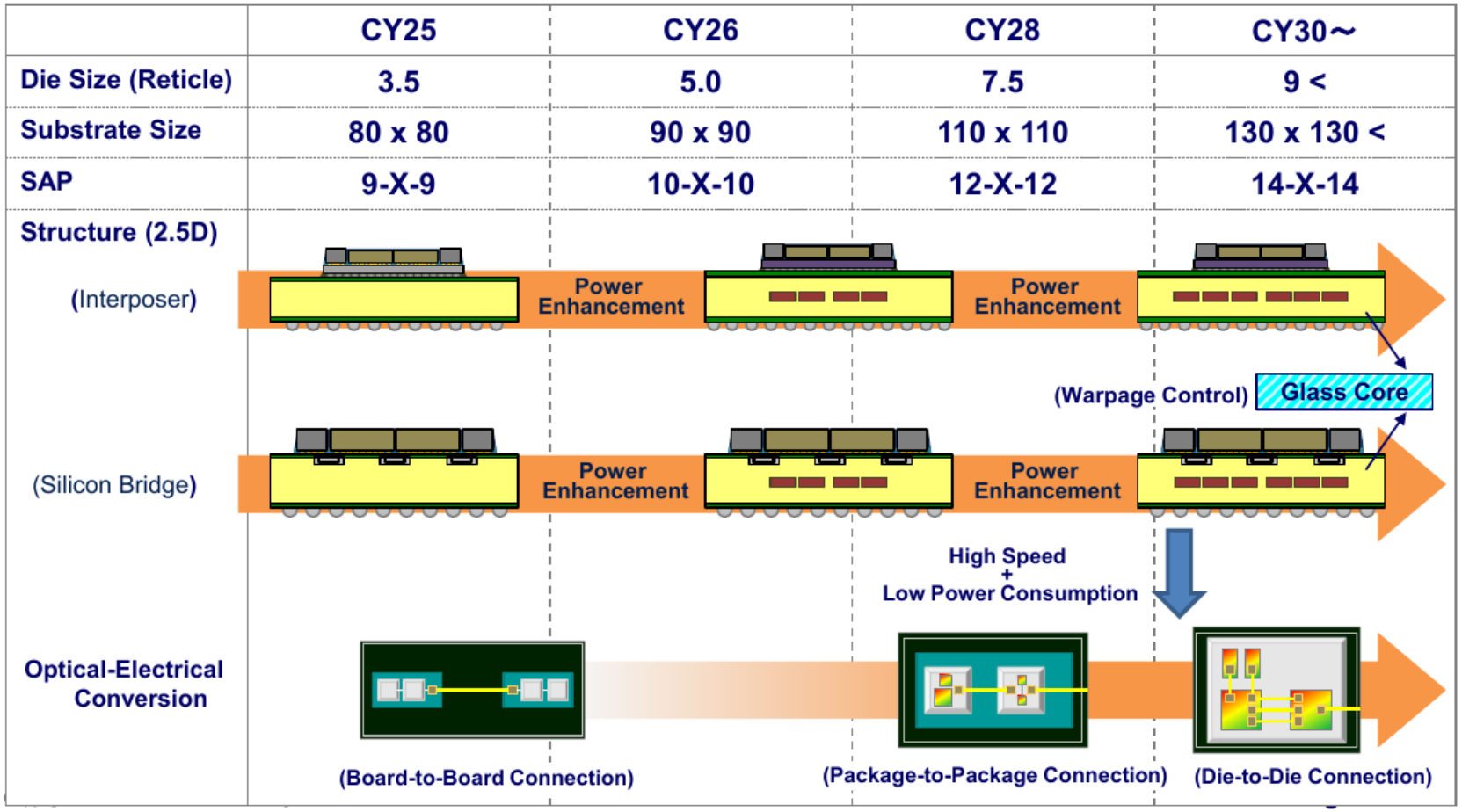
Interposer and silicon-bridge substrates have different competitive dynamics. In May management said a new-generation interposer product can start near 100% share but lose 20-30 percentage points within three to six months. For silicon bridges, backside interconnection was described as sufficiently difficult to preserve an advantage through FY2030. That latter claim is management's assessment, not a guaranteed monopoly.

Beyond substrates, Ibiden has ceramics used in diesel exhaust treatment, insulation and graphite, as well as other businesses. A future nuclear-power opportunity should not be treated as material near-term sales without qualified product and order evidence. The model keeps those segments separate from AI substrates.

Technological Advancement and Development of IC Package Substrates

- ☐ In cutting-edge products, in addition to larger size and more multi-layering, embedded component is progressing, and Value-added growth is anticipated.
- ☐ Continue to maintain the position as the top supplier by proactively developing essential elemental-technologies across all areas.

	CY25	CY26	CY28	CY30～
Die Size (Reticle)	3.5	5.0	7.5	9 <
Substrate Size	80 x 80	90 x 90	110 x 110	130 x 130 <
SAP	9-X-9	10-X-10	12-X-12	14-X-14



IBIDEN primary May12 orAug5 2026 presentation | Issuer dimensionalandlayermap, notcustomerawards.

Actuals and guidance

April-June 2026 revenue was ¥123.219bn, gross profit ¥44.873bn, SG&A ¥17.993bn and statutory operating profit ¥26.880bn. Electronics external sales were ¥77.522bn with ¥21.375bn segment operating profit; ceramics ¥24.365bn and ¥3.220bn; other external sales ¥21.330bn and ¥2.239bn profit. Rounding and a small intersegment adjustment reconcile the consolidated total.

The electronics profit excludes ¥834M of depreciation on inactive facilities, classified below operating profit in the filing. The economic model includes that real cost. It does not treat inactive factories as free merely because of their financial-statement line placement.

Current FY2026 guidance, for April 2026-March 2027, is ¥550bn revenue and ¥127bn statutory operating profit. This replaces the May ¥500bn/¥90bn forecast. The current segment revenue plan is ¥375bn electronics, ¥84bn ceramics and ¥91bn other, with operating profit of ¥110bn, ¥6.5bn and ¥10.5bn respectively. The H1 statutory forecast is ¥253.5bn revenue and ¥54.5bn operating profit.

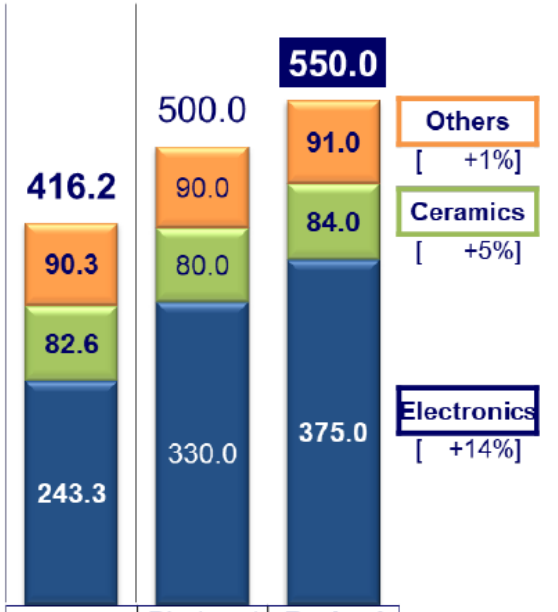
The near-term model exactly reconciles actual Q1 plus the next three quarters to ¥550bn revenue and ¥127bn statutory profit, then deducts idle-facility depreciation consistently. Annual economic operating profit becomes ¥123.664bn after the ¥3.336bn cost. That is an explicit accounting-basis adjustment, not a hidden guidance downgrade.

Forecasts of Net Sales, Operating Profit and Net Profit in Full-Year of FY2026

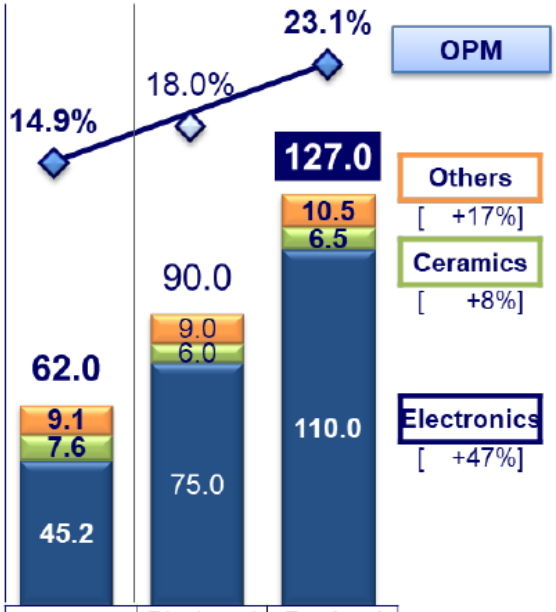
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☐ In the Electronics Segment, demand and sales prices, particularly for high-value-added products, are expected to remain strong, and high capacity utilization rates are anticipated to be maintained.
Given these favorable conditions, we revise upward our earnings forecast.
(For the 1st half to the 2nd half of FY26, Ceramics Segment is expected to see a decrease in sales and profit, while Other Segments are expected to achieve an increase in sales and profit).

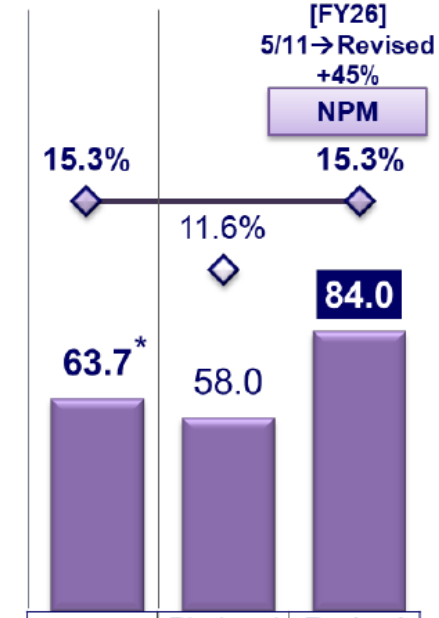
Net Sales (Unit: JPY 1 billion) [FY26] 5/11→Revised +10%



Operating Profit (Unit: JPY 1 billion) [FY26] 5/11→Revised +41%



Net Profit (Unit: JPY 1 billion) [FY26] 5/11→Revised +45%



Result FY25	Disclosed on May 11 FY26	Revised Disclosure FY26	
149	150	152	Exchange rate (USD)
172	180	181	Exchange rate (EUR)

*Includes JPY 34.5 billion in Gains on the sales of Closs-shareholdings (after-tax basis)

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IBIDEN primary May12 orAug5 2026 presentation | August currentFY2026 guide; Mayforecastonleftissuperseded.

Price, mix and model increments

The latest two management records are the official May 12 and August 5 results Q&As. In August, finance management said maintaining ASP was easier in quarterly negotiations and that substrate pricing had risen more than expected because of industry shortage. Inquiries were broad across customers. GPU, switching IC and high-end CPU demand improved, with existing capacity flexed toward higher-value products.

The August presentation's electronics operating-profit bridge moves from ¥75bn to ¥110bn, including ¥26.5bn ASP/product mix. This uplift is already inside the current reference. It must not be added again to an initial model anchored at the new guidance. Likewise, material cost pass-through is not pure profit.

The future pricing case retains a 60% probability and the original 40% cohort of reference IC package substrate sales eligible for new or reset terms. Its revised conditional premium is defined in the industry-to-company bridge below. It preserves the existing first eligible quarter, calendar Q2 2027, and excludes ceramics, other businesses, fixed-price orders and the separate qualified-output branch. Of incremental price sales, 15% covers inputs/expediting and 10% covers selling, customer support and engineering. The remaining 75% contributes consolidated operating profit before the existing 0.6% minority allocation. Customer-funded facilities and long relationships may limit the achievable premium.

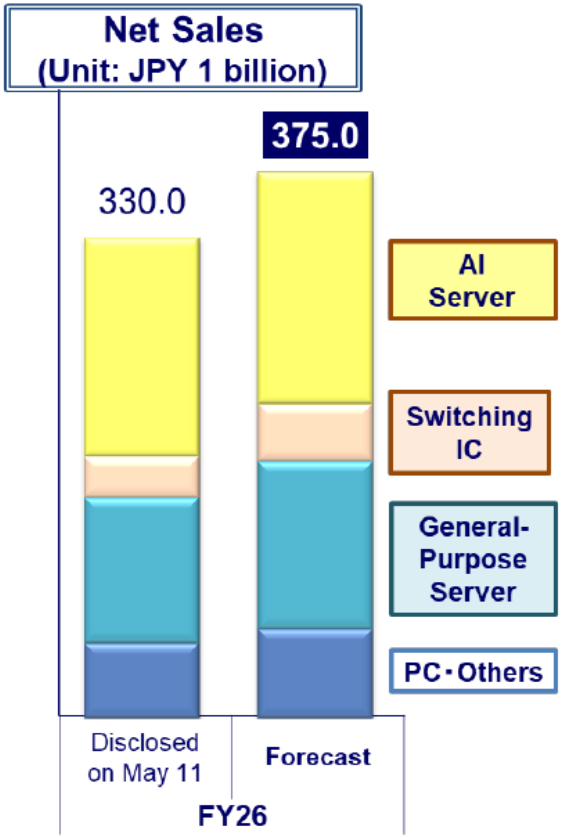
The separate qualified-output branch assigns 55% probability to additional substrate revenue of ¥20bn/¥40bn/¥60bn/¥70bn in FY2027-2030 above reference electronics revenue of ¥500bn/¥620bn/¥720bn/¥800bn. Bounds are ¥10bn-¥30bn in FY2027 and ¥20bn-¥60bn in FY2028. The extra revenue carries a 42% gross contribution and 10% qualification/support expense. FY2027 weighted operating profit is ¥3.52bn. This is a bounded productive-output and mix proxy, not additional factory floor area multiplied by the whole market.

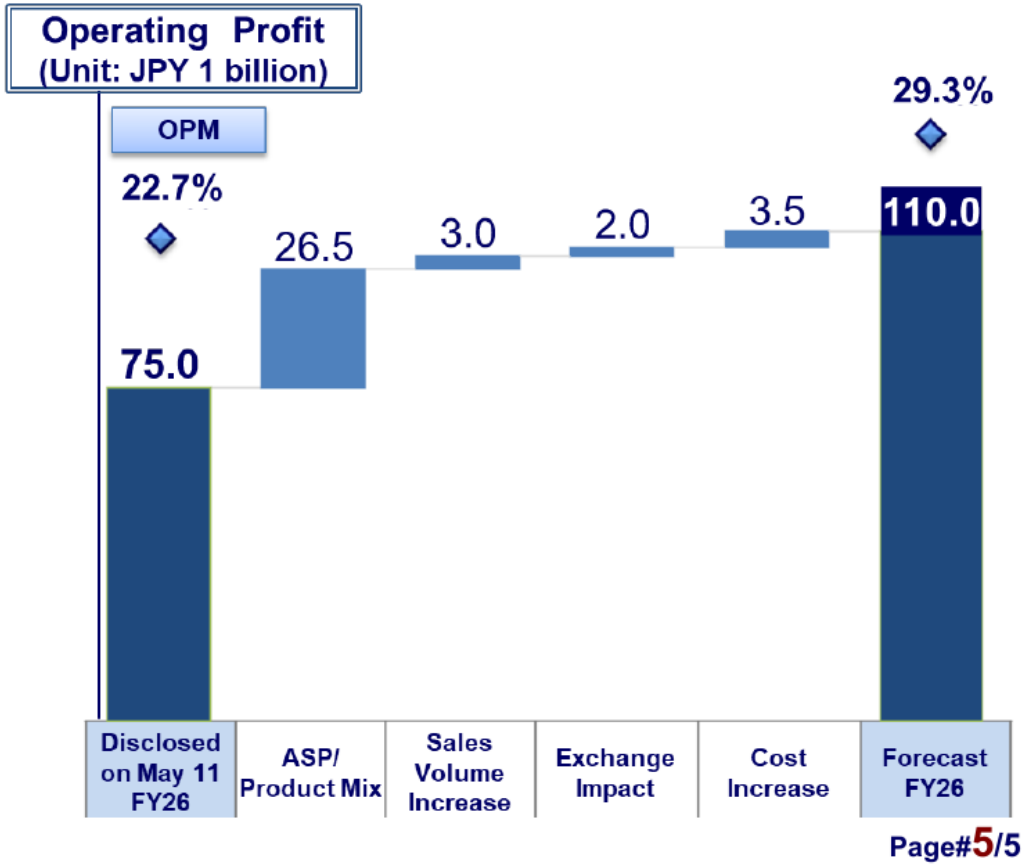
A 30% downside branch delays 10% of an incremental capacity cohort of ¥100bn in FY2027 and ¥120bn in FY2028, with a 0-20% delay bound. The lost revenue contributes 45% gross profit, with 5% selling-cost relief. FY2027 expected operating profit falls ¥1.2bn. This is further slippage beyond the conservative baseline timing, not a second deduction for the same published Gama schedule.

[Electronics Segment] FY2026: Changes from the May 11 Disclosure

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- ☐ In addition to products for AI servers and general-purpose servers, we also anticipate expanded demand for switching ICs.
- ☐ The situation where demand exceeds the industry's supply capacity continues. Sales prices, particularly for high-value-added products, remain strong.
- ☐ Raw material procurement risks have decreased compared to the beginning of FY26, and we will flexibly utilize existing production capacity to meet customer demands.





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IBIDEN primary May12 orAug5 2026 presentation | Issuer35bn electronicsOPrevision, including26.5bnASP/mix.

October 12 ABF pricing magnitude reconciliation

TrendForce's original October 12 Weekly Radar005 chart repeats the October 5 Radar004 ABF forecast: current lead times of 48-56 weeks versus 12 weeks in a balanced market and sequential price increases of 10-15% each quarter from Q3 2026 through Q4 2027. This is an industry forecast, not reported Ibiden ASP or a customer contract. The existing60% probability is retained; repeating the chart does not create another independent signal.

Item	Status	Current Lead Time	Balanced Lead Time	Quick Take
CPU	Tight	25–30W	16–20W	Despite the continued expansion of server CPU supply across both mainstream and new platforms, customer orders remain difficult to fulfill.
GPU	Balanced	30-40W	30-40W	NVIDIA and AMD are expected to be shipping mainly Blackwell and MI350, respectively, while their next-generation Rubin and MI450 AI server systems still need time for tuning.
DRAM	Very Tight	20W	8W	PC OEMs' limited ability to absorb the 4Q26 contract price increases is prompting DRAM suppliers to reallocate bit supply from PC DRAM toward server DRAM, primarily to meet demand from US CSPs.
NAND (eSSD)	Tight	16W	8W	As with HDDs, CSPs are looking to secure eSSD supply through 2027. Lead times for eSSDs remain elevated.
HDD	Very Tight	50W	16W	CSPs remain eager to lock in supply with HDD vendors. Lead times show no signs of shortening through 2027.
ABF	Very Tight	48–56W	12W	Capacity additions for ABF substrates are lagging well behind fast-growing demand, which leaves little room for the shortage to ease in the near term. We expect sequential price increases of 10–15% per quarter from 3Q26 through 4Q27.
MLCC	Tight	35W	12W	Smartphone and notebook ODMs are slowing their MLCC inventory build. Consumer-grade MLCC demand is diverging: weak for low-capacitance products, strong for high-capacitance ones.

Status key

Very Tight = severe shortage **Tight** = constrained supply **Tightening** = conditions worsening

Balanced = supply-demand balance **Easing** = conditions improving

Source: TrendForce, Oct 12, 2026

TrendForce

ABF48-56weeks versus12balanced;10-15%QoQ industry forecast throughQ4 2027, repeated fromOctober5. Ibiden uses only its eligible reference cohort, preserves existing guidanceASP/mix and applies matched costs/funding. Original units and footnotes apply.

The10% lower endpoint gives future cumulative industry price levels10/21/33.1/46.41/61.051% fromQ4 2026 through Q4 2027 against the calibrated Q3 base. Existing first eligibility remains calendar Q2 2027, so earlier periods receive zero incremental pricing. For eligible orders, conditional company premium = old 3% +50% x max(0,industry level -old 3%). This gives18.05/24.705/32.0255% in Q2/Q3/Q4 2027 on the existing40% pool of reference IC package substrate sales.

The issuer's JPY 26.5bn FY2026 ASP/mix operating uplift is already embedded in guidance. Reference volume, richer mix, larger area, additional process steps and yield constraints also remain intact. Exact like-for-like referenceASP is unknown. Removing half of the stronger-minus-old premium is an explicit 50% overlap/realization reserve, bounded 25-75%, rather than a measured contract coverage fact. No extra unit, utilization, market-share, geometry or depreciation multiplier is added.

SemiAnalysis's October 12 five-post thread argues that Japanese substrate value per square meter and Taiwanese value per piece have different denominators. Larger bodies lift value per piece even without a proportionate price rise per area. Its claimed Taiwan tripling therefore does not establish 3x like-for-like Ibiden repricing. More area, layers and difficult routing can raise both content and manufacturing burden, reducing good units per panel and increasing material/yield costs. The existing reference and downside branch retain these constraints. All five thread texts were read; three original chart attachments remain a delivery gap, so no chart readings or Taiwan 3x multiplier is used. SemiAnalysis post2/5, October 12

For 2028, the industry increment above old 3% fades by 87.5/75/62.5/50% by calendar quarter before applying the 50% residual capture. This fade is a model assumption because the publisher forecast stopsQ4 2027. In 2029-30 the old 3% premium remains without a new industry extension. Qualification, acceptance, material pass-through and customer reset timing determine recognition.

Conditional price sales = reference substrate sales x 40% x selected premium. The existing60% weight is applied once, with 85% gross-profit retention,10% support cost and 0.6% minority attribution. The current funding function is then rerun on the weighted operating case, including 32% cash tax,18% working capital against quarter-to-quarter sales changes, dated capital investment, customer advance receipts and depletion, minority distributions, dividends, debt and cash. Customer advances remain funding against deliveries, not additional sales or permanent free cash. The existing if-converted shares and 20x forward-four-quarter operating-profit method are unchanged.

Quarter	Industry lower level	Eligible	Conditional premium	Weighted sales increment,JPY m	Common OP increment,JPY m
Q3 2026	n/a	No	0.0000%	0.000000	0.000000
Q4 2026	10.0000%	No	0.0000%	0.000000	0.000000
Q1 2027	21.0000%	No	0.0000%	0.000000	0.000000
Q2 2027	33.1000%	Yes	18.0500%	4,153.800000	3,096.657900
Q3 2027	46.4100%	Yes	24.7050%	6,511.500000	4,854.323250
Q4 2027	61.0510%	Yes	32.0255%	9,055.956000	6,751.215198
Q1 2028	53.7946%	Yes	28.3973%	7,923.961500	5,907.313298
Q2 2028	46.5383%	Yes	24.7691%	7,450.265340	5,554.172811
Q3 2028	39.2819%	Yes	21.1409%	6,748.428750	5,030.953633

Quarter	Industry lower level	Eligible	Conditional premium	Weighted sales increment,JPY m	Common OP increment,JPY m
Q4 2028	32.0255%	Yes	17.5127%	5,614.692720	4,185.753423
Q1 2029	n/a	Yes	3.0000%	0.000000	0.000000
Q2 2029	n/a	Yes	3.0000%	0.000000	0.000000
Q3 2029	n/a	Yes	3.0000%	0.000000	0.000000
Q4 2029	n/a	Yes	3.0000%	0.000000	0.000000
Q1 2030	n/a	Yes	3.0000%	0.000000	0.000000
Q2 2030	n/a	Yes	3.0000%	0.000000	0.000000
Q3 2030	n/a	Yes	3.0000%	0.000000	0.000000
Q4 2030	n/a	Yes	3.0000%	0.000000	0.000000

For Q4 2027 through Q3 2028, incremental weighted sales are JPY 31,178.611590m. Incremental gross profit is JPY 26,501.819851m, with JPY 3,117.861159m support costs. Common operating profit rises JPY 23,243.654940m after the minority allocation. Rebuilt end-window financial claims are JPY -298,482.372990m. The same valuation is (20 x 235,072.847900 - (-298,482.372990)) / 592.615642795 = JPY 8,437.069442541. Negative financial claims represent net cash; no second customer-advance deduction is made.

Full funding-rebuilt control	Q4 2027 ceiling,JPY	Peak bank debt,JPY m
Zero stronger residual restores old active	7,618.881904	0.000000
25% residual capture	8,027.975673	0.000000
75% residual capture	8,846.163212	0.000000
No future advance receipts	8,234.577319	0.000000
Advance utilization30% faster	8,385.167148	3,181.053821
No new advances and faster utilization	8,182.514662	11,236.095164

The zero-residual full funding rebuild restores the exact prior active model. Worksheet operating controls hold the selected funding path fixed and are isolated sensitivities; a new adopted change requires a fresh full funding run. Revisit issuer ASP versus material pass-through, actual reset terms, good-unit acceptance and advance/cash conversion.

Productive capacity and engineering

The May plan indexes IC package substrate capacity from 1.0 in FY2024 to 1.7 in FY2026, 2.3 in FY2027 and 2.8 in FY2028. Separately, AI substrate production load rises from 1.0 in CY2024 to 1.8 in CY2026 and 2.5 in CY2028. Those series have different meanings. Multiplying them as independent demand drivers would substantially overstate sales.

A larger substrate fits fewer units per panel. More layers require more processing steps and can reduce good-unit yield. The resulting pressure on qualified throughput can support pricing even when nominal capacity expands. It also raises costs and slows acceptance. The model embeds these constraints in its reference revenue and margins rather than stacking them as independent bullish shocks.

August management said two additional glass-cloth suppliers could enter mass production, expanding the pool from two to four. A Japanese supplier also planned more capacity. This is useful counter-evidence against treating glass cloth as permanently unavailable. Competition for material remains possible as other substrate manufacturers expand.

Demand Forecast and Capacity Expansion Plan of IC Package Substrates

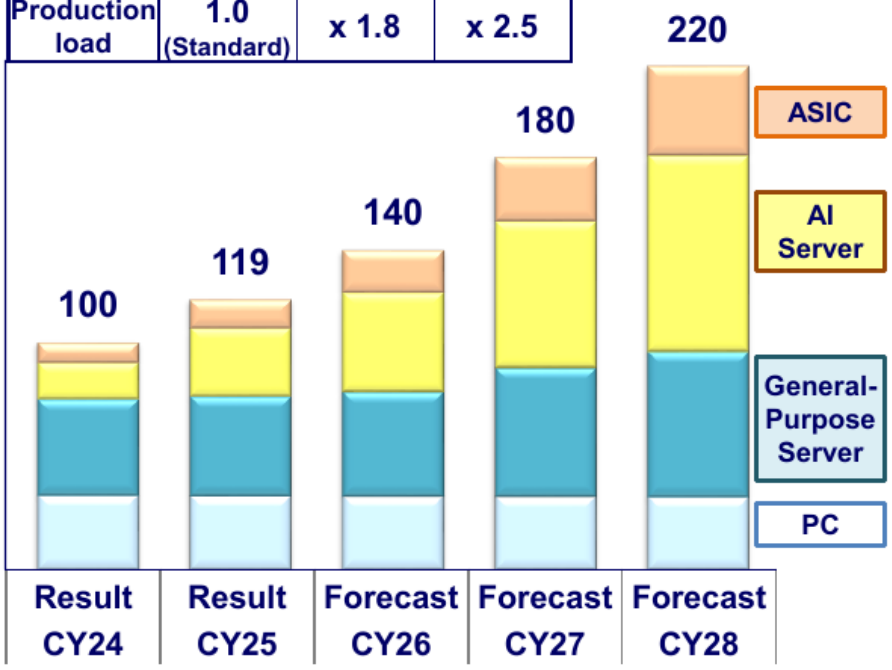
- ☐ As IC package substrates become larger and more multi-layered, total SAP demands are expected to exceed the industry's supply capacity.
- ☐ We will maintain our top share in the high-end market through capacity expansion focused on cutting-edge semiconductors.

SAP*Demands (Size)

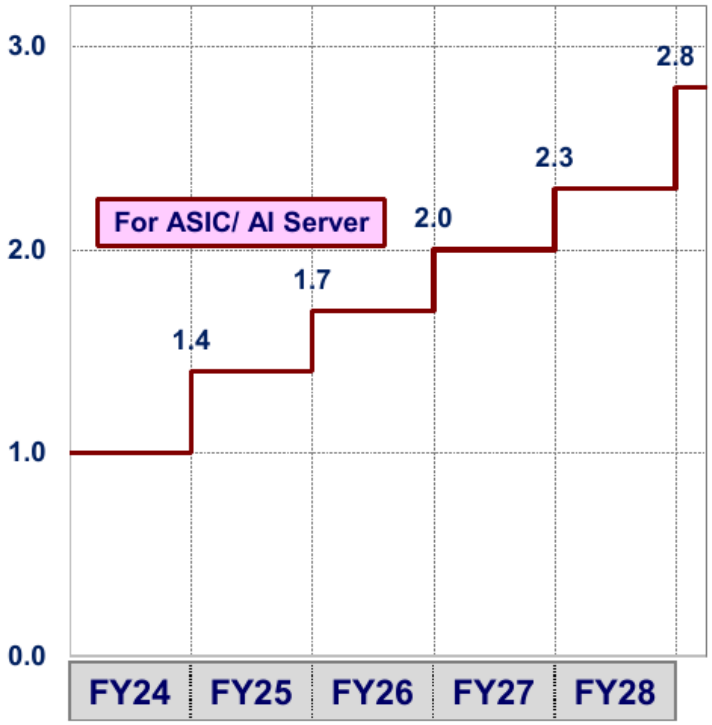
*SAP : Semi Additive Process
*Indexed by CY24=100

■ Production load of substrate for AI server (Converted by SAP) (based on customer information)

	CY24	CY26	CY28
Production load	1.0 (Standard)	x 1.8	x 2.5



Capacity Expansion Plan(Index)



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IBIDEN primary May12 orAug5 2026 presentation | Capacityindex andSAPload use differentbasis; donotmultiplythem.

Factories, qualification and timing

The announced electronics investment is ¥500bn across FY2026-2028: about ¥220bn for Gama Cell6, mainly AI ASIC substrates, and ¥280bn for part of Ono Cell8, mainly AI GPU substrates. May materials describe sequential operation from FY2027. The newer August Q&A says Gama starts sequentially at the end of FY2027 and contributes from FY2028. The model follows the newer operational timing.

EMIB-T technical establishment was largely complete, but the program was entering the yield-improvement phase before mass production. One or two competitors were also developing it. Technical feasibility, qualified customer yield and commercial revenue are different milestones.

Management said hiring and lead times made expansion beyond the existing plan difficult through FY2028. By August the company was looking to decide the next capacity investment by FY2026-end at the latest, recruiting nationally and reallocating experienced workers. A new decision is not immediate productive supply.

Capital Investments for the growth of the electronics business

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- ☐ We will execute the total capital investments of JPY 500 billion, as disclosed on February 3, as planned, to respond to market and customer needs.
- ☐ While maximizing and flexibly utilizing the production capacity of our existing plants, we will proceed with the consideration of our next investments and production strategies.

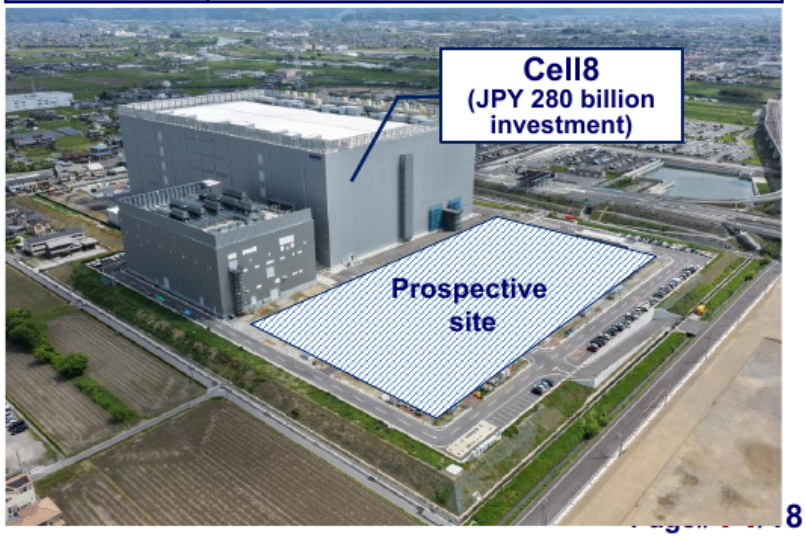
Gama Plant(Cell6)

Item	Details
Investment	About JPY 220 billion (Cell6)
Operation Start	Sequentially commence operations from FY2027 and start mass production
Products	High-Performance IC Package Substrate for AI ASIC



Ono Plant(Cell8)

Item	Details
Investment	About JPY 280 billion (1/2 of Cell8)
Operation Start	Sequentially commence operations from FY2027 and start mass production
Products	High-Performance IC Package Substrate for AI GPU



IBIDEN primary May12 orAug5 2026 presentation | Mayplan; AugustQ&A updatesGama contributiontoFY2028.

Long-range model and valuation

The May management plan targeted FY2027 sales of ¥650bn and operating profit of ¥150bn, then above ¥1tn and ¥300bn respectively by FY2030. The August FY2026 uplift means the original FY2027 plan is a stale comparison, although the company had not issued a complete new FY2027 plan in the materials reviewed.

The FY2027 reference uses ¥500bn electronics, ¥90bn ceramics and ¥100bn other external sales. Later electronics revenue grows to ¥620bn, ¥720bn and ¥800bn. Ceramics and other businesses grow much more slowly. Production depreciation remains in product costs; R&D rises from ¥26bn in FY2026 to ¥43bn in FY2030, with selling/administrative costs separately expensed. Product gross margins are model allocations, not disclosed segment gross margins.

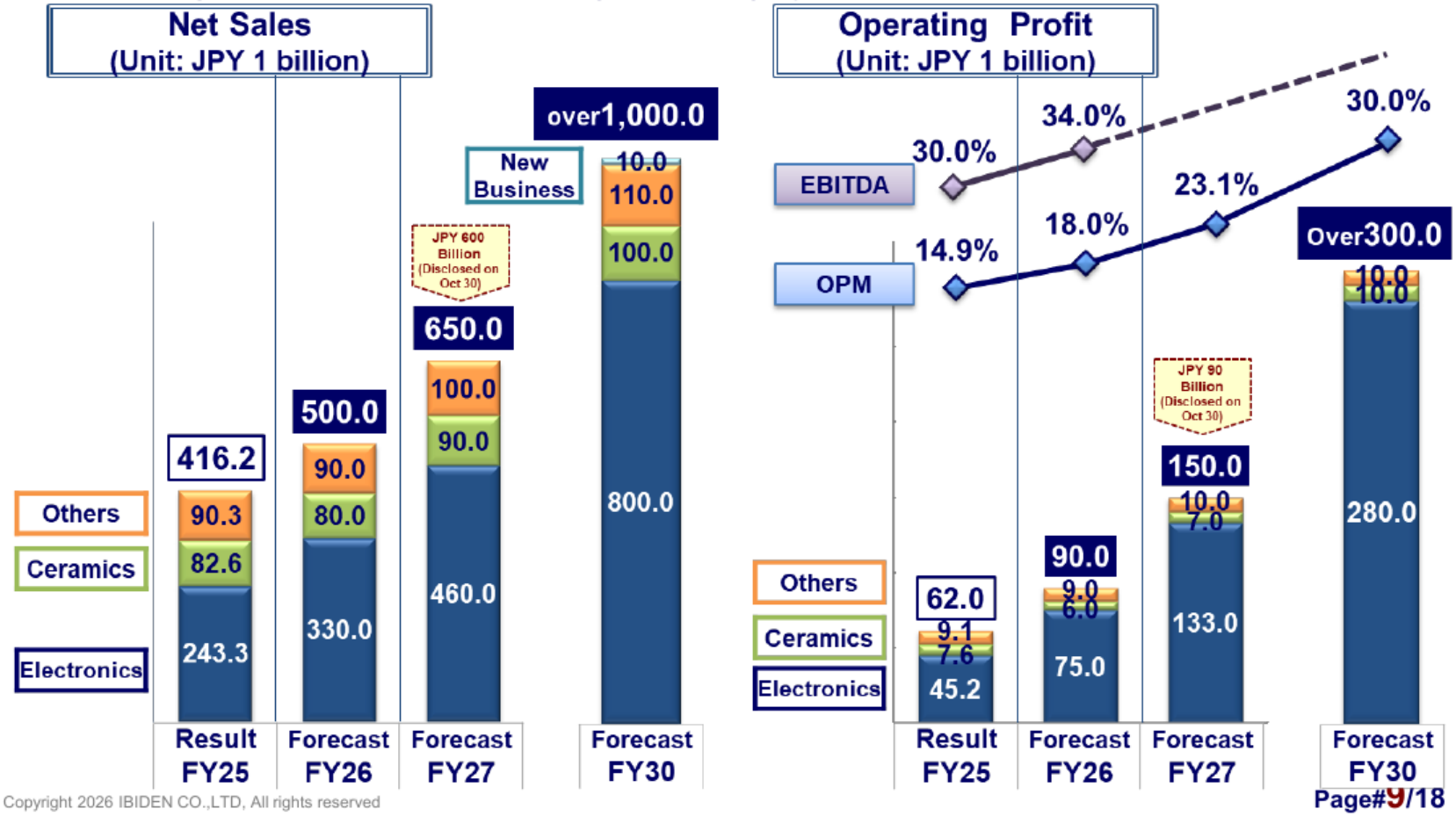
The output and price branches sit above that reference, and the delay branch below it. This means the model does not require all of the company's 2030 aspirations to be certain before assigning value to credible forward evidence. At the same time, the assumed 20x operating-profit valuation can still remain below today's price.

There are 18 operating quarters, Q3 2026-Q4 2030, and 15 four-quarter ceilings. A Q4 2027 ceiling capitalizes Q4 2027 through Q3 2028, not the calendar-year 2027 profit sum. All shares and current prices use the October 1, 2026 split basis.

Mid-Term Forecasts

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- We revise upward the performance targets for FY2027, the final year of the current Mid-Term Management Plan.
- With the electronics business as the core, we aim to achieve Net Sales of JPY 1 trillion and Operating Profit of JPY 300 billion (OPM:30%) by FY2030.



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IBIDEN primary May12 orAug5 2026 presentation | ManagementFY2030 ambition, notanindependentguarantee.

Funding and the customer-prepayment trap

June cash equivalents were ¥370.505bn. The same balance sheet contained ¥154.526bn customer advances, up ¥73.575bn during the quarter. Reported Q1 operating cash flow of ¥95.892bn therefore includes substantial advance funding. It is not all cash generated by that quarter's earned profit.

Management said customer agreements would generally bear investment costs, with a portion paid in advance, and did not anticipate additional financing at the time. Such advances fund tools but require future product delivery. The model tracks cash received and later utilization separately. It does not recognize prepayments as revenue, treat all current cash as permanent surplus, or deduct the same advances twice in enterprise value.

The funding bridge includes the ¥210bn FY2026 capex plan, with approximately ¥16.137bn cash equipment/intangible outlay in Q1 and the remainder spread over the next three quarters. FY2027 and FY2028 capex are ¥160bn annually, including non-electronics investment; later capex stays material. Depreciation rises from ¥81bn to ¥142bn annually through FY2030. R&D remains fully expensed before operating cash flow.

The funding assumptions include 32% tax, 1.5% annual borrowing cost, 18% working-capital investment against quarterly revenue changes, progressive split-adjusted dividends and minority distributions. Modeled new customer advances are ¥80bn in each of FY2027 and FY2028, then zero. Existing and new advances are consumed as orders are delivered. The exact contract amortization is undisclosed, so slower receipts or faster utilization belongs in the downside case.

A ¥150bn minimum cash reserve is maintained. Shortfalls generate borrowing; surplus pays down debt. After debt reaches zero, further cash accumulates. Both active and reference models have their own funding paths. Future free cash is not credited without paying the capex and working-capital bill.

Shares, convertibles and minority economics

Ibiden split two-for-one on January 1, 2026 and again on October 1. The June issued total of 281.944019M and treasury stock of 0.932359M were already adjusted for January but not October. Their October equivalent is 562.023320M common shares outstanding.

The June convertible carrying amount is ¥64.248bn. Approximately ¥62bn remaining face value is inferred from the original ¥70bn issue, conversions and issue premium; the exact remaining face note should be refreshed with November results. The post-October split conversion price is ¥2,243.1. The model adds the remaining face divided by that conversion price, giving approximately 589.663639M if-converted shares, and removes the ¥64.248bn carrying liability from debt. July's ¥7.3bn conversion and 1.627210M pre-October new shares are part of the same instrument; they do not create another layer of dilution on top of the fully converted denominator.

Future compensation dilution is 0.25% annually. This is separate from conversion. The remaining face uncertainty of ±¥1bn changes the post-split denominator by about 0.446M shares. Non-convertible debt starts around ¥121.55bn, including a bounded current-lease estimate; the unresolved current-lease isolation is approximately ±¥0.5bn, immaterial to the main business conclusion.

Minority economic profit is allocated at 0.6% of consolidated operating profit, with a 0.3-1.2% sensitivity range. H1 is not available yet; Q1 minority net profit was ¥152M. The allocation is a normalized operating proxy, not book minority equity. It is deducted from quarterly consolidated operating profit before applying the 20x multiple. Net financial debt is deducted once.

Score, risks and next evidence

The score is raw47/60, Base78: Core Thesis18, Cycle8, TAM9, Catalysts4, Macro8, Alpha4, Risks minus4. It reflects the qualified substrate position and visible price/mix evidence. It does not mean the current stock is cheap.

The main risks are technical yield and material availability, scarce engineers, concentrated customer qualification, the economics of prepaid capacity, competitor supply, FX and a market price already assuming a large future profit pool. The issuer's own history of new-generation share erosion is essential counter-evidence.

Next results should reconcile ASP versus material pass-through, qualified good-unit output, Gama acceptance timing and cash prepayment balances. The next capacity decision, not just its announcement, must be tied to funding, tools, hiring and customer qualification. A stronger margin or growth forecast requires evidence of retained economics, not a higher stock price. The valuation changes if approved inputs change; it does not automatically change because this is a high-quality business.

Lease principal reduces both cash and lease debt. Equal new lease additions keep the outstanding lease liability unchanged before other financing movements. The corrected exact Q4 2027 ceiling is ¥8,437.069443.

Latest share snapshot and customer-advance stress

The latest verified July issuance adds 1.627210M pre-October shares, or 3.254420M after the October split. Quoted common shares are therefore 565.277740M, retaining the last disclosed treasury balance, rather than the historical June equivalent of 562.023320M. Removing the corresponding ¥7.3bn converted face leaves ¥54.7bn; at ¥2,243.1 this adds 24.385899M shares. Fully converted shares remain 589.663639M, so this snapshot correction does not change valuation.

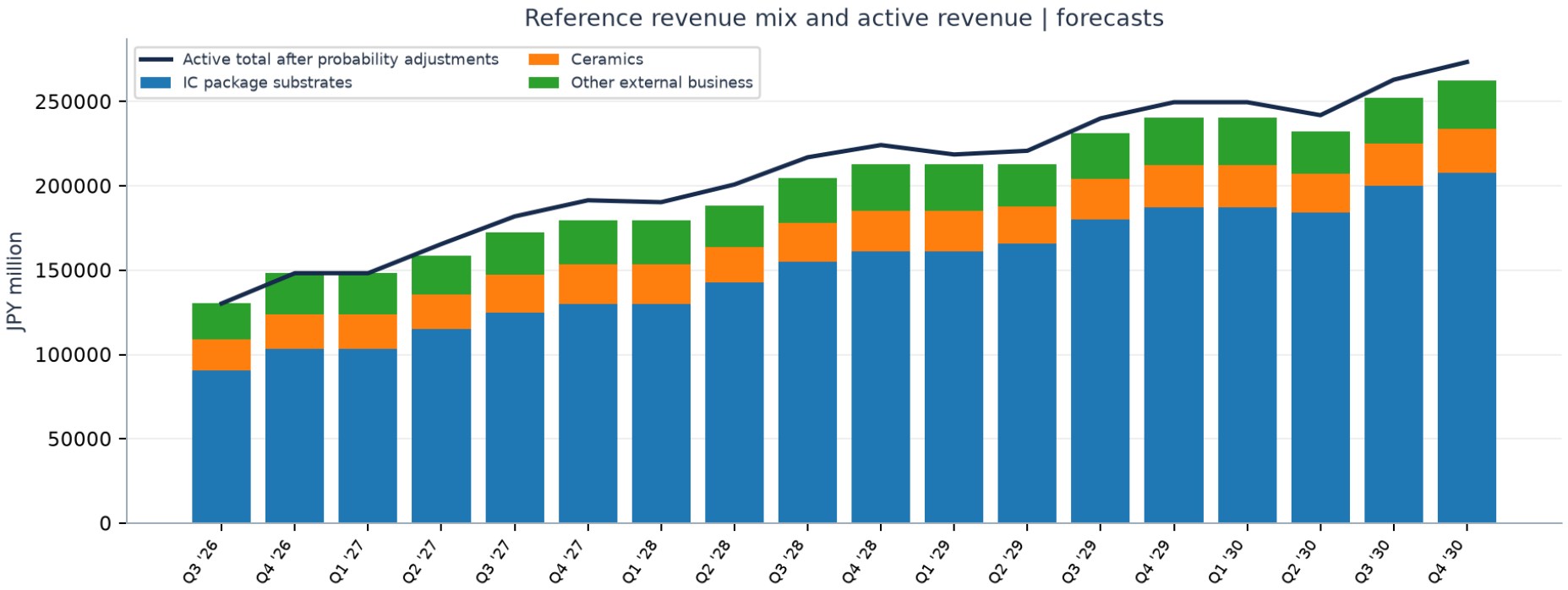
No future customer advance receipts gives a Q4 2027 ceiling of JPY 8,234.577319. Consuming advances30% faster gives JPY 8,385.167148; both changes together give JPY 8,182.514662. These full funding stresses preserve the selected operating sales, profit and capex, consume the existing advance liability, and rebuild borrowing/cash.

The workbook probability controls hold the adopted funding path fixed for valuation sensitivity. A full reference funding calculation remains separately preserved. Any adopted operating change requires rebuilding taxes, customer advances, investment and debt before publication.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	18	High-end substrates require difficult bridge interconnection, core formation, warpage and qualification.
Cycle	8	Industry shortage and price realization, with new qualified capacity constrained.
TAM	9	Larger substrates and layers consume process capacity per package; ASIC/switch demand broadens.
Catalysts	4	Pricing updates, glass-cloth qualifications, capacity decision byFY2026end andGamarampFY2028.
Macro	8	AIserver investments offsetPC andautomotivecyclicality.
Alpha	4	DifferentiateASPincrementfromcostpass-through andproductiveSAPcapacityfromfloorarea.
Risk classes	-4	Yield/materials/hiring; customerconcentration andprepaymentterms; capex/FX; competitivequalification andvaluation.
Total	47/60	Rounded Base 78. Both artifact and existing workbook row retain this score; this is not a manual override.

Revenue and business mix

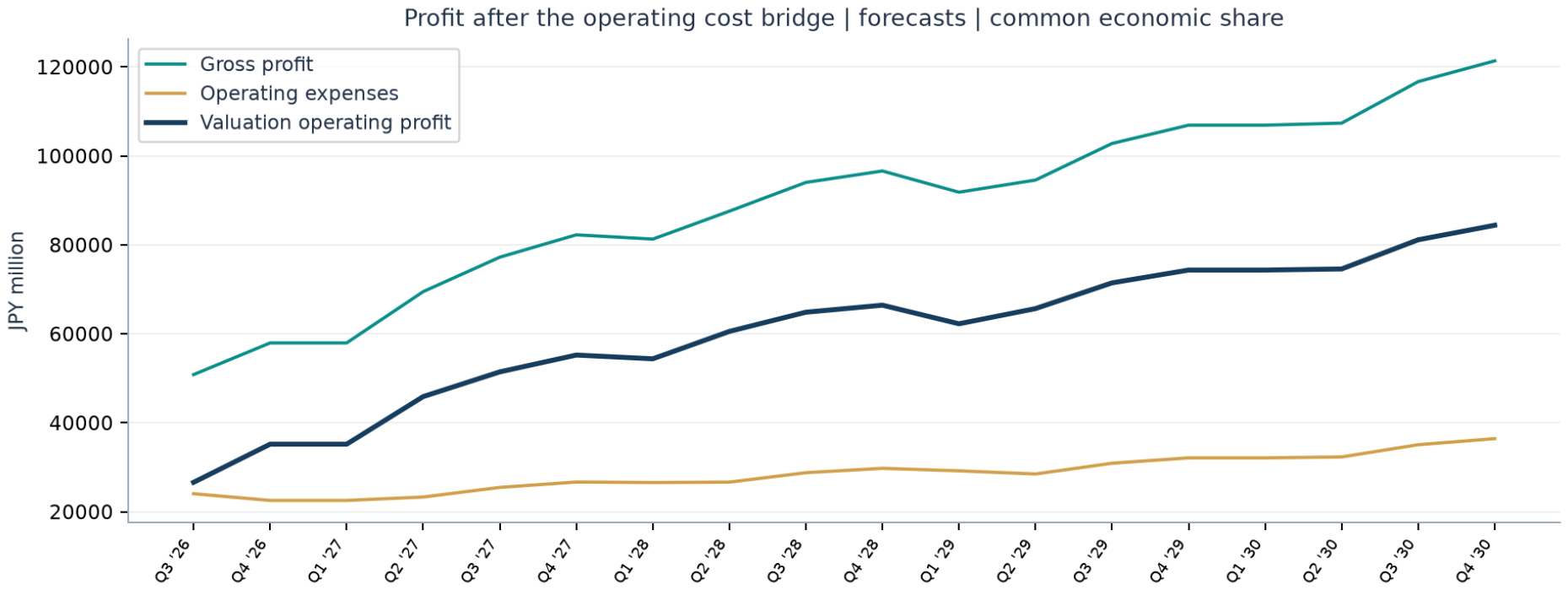


Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	130,281.0	0.0	130,281.0
Q4 2026	148,250.0	0.0	148,250.0
Q1 2027	148,250.0	0.0	148,250.0
Q2 2027	158,700.0	6,821.8	165,521.8
Q3 2027	172,500.0	9,411.5	181,911.5
Q4 2027	179,400.0	12,072.0	191,472.0
Q1 2028	179,400.0	10,940.0	190,340.0

Quarter	Reference revenue	Weighted net change	Active revenue
Q2 2028	188,140.0	12,709.0	200,849.0
Q3 2028	204,500.0	12,464.4	216,964.4
Q4 2028	212,680.0	11,559.3	224,239.3
Q1 2029	212,680.0	5,944.6	218,624.6
Q2 2029	212,750.0	8,092.3	220,842.3
Q3 2029	231,250.0	8,796.0	240,046.0
Q4 2029	240,500.0	9,147.8	249,647.8
Q1 2030	240,500.0	9,147.8	249,647.8
Q2 2030	232,300.0	9,627.8	241,927.8
Q3 2030	252,500.0	10,465.0	262,965.0
Q4 2030	262,600.0	10,883.6	273,483.6

Gross profit, operating expenses and earnings

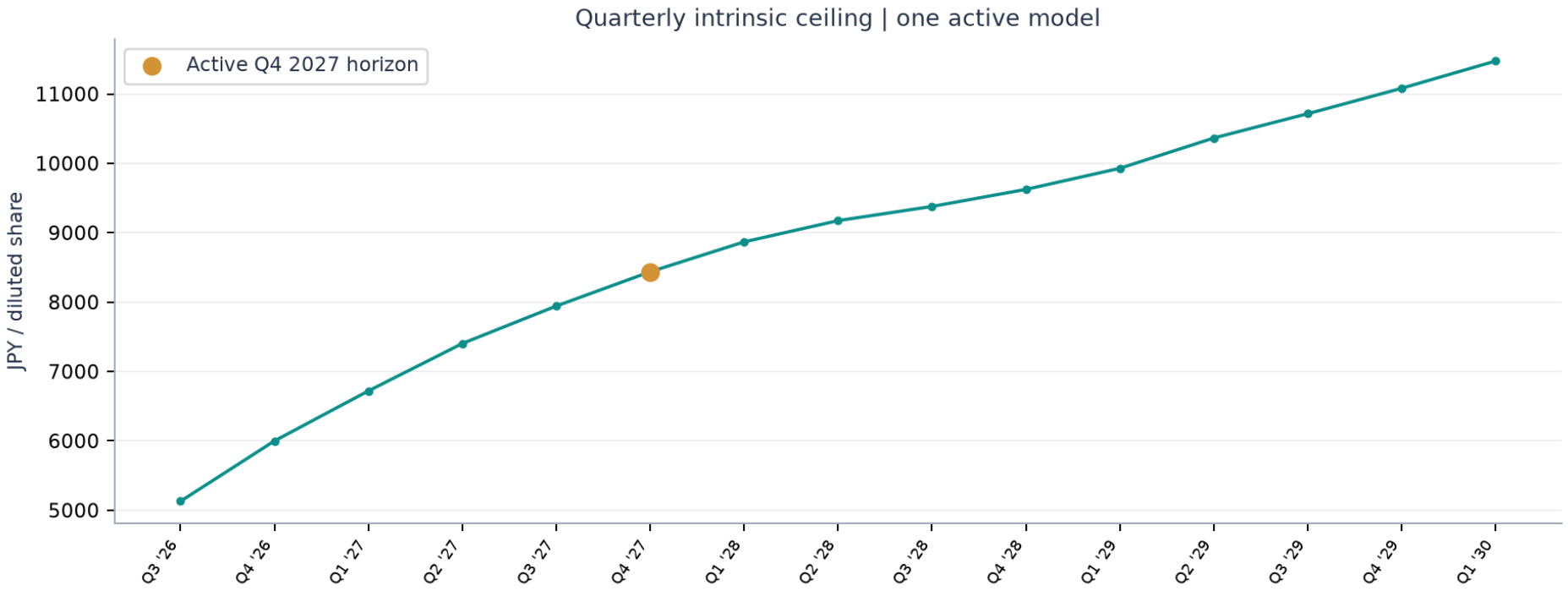


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Model guidance-calibrated; economic depreciation included	130,281.0	50,848.5	24,062.5	26,625.3	20.4%
Q4 2026 / Model guidance-calibrated; economic depreciation included	148,250.0	57,972.5	22,556.5	35,203.5	23.7%
Q1 2027 / Model guidance-calibrated; economic depreciation included	148,250.0	57,972.5	22,556.5	35,203.5	23.7%
Q2 2027 / Model assumption	165,521.8	69,501.6	23,316.7	45,907.8	27.7%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2027 / Model assumption	181,911.5	77,242.3	25,478.7	51,453.0	28.3%
Q4 2027 / Model assumption	191,472.0	82,273.4	26,696.2	55,243.7	28.9%
Q1 2028 / Model assumption	190,340.0	81,311.2	26,583.0	54,399.8	28.6%
Q2 2028 / Model assumption	200,849.0	87,590.4	26,672.3	60,552.6	30.1%
Q3 2028 / Model assumption	216,964.4	94,059.8	28,791.4	64,876.7	29.9%
Q4 2028 / Model assumption	224,239.3	96,629.0	29,772.7	66,455.2	29.6%
Q1 2029 / Model assumption	218,624.6	91,856.5	29,211.3	62,269.4	28.5%
Q2 2029 / Model assumption	220,842.3	94,590.1	28,503.7	65,689.9	29.7%
Q3 2029 / Model assumption	240,046.0	102,815.4	30,917.1	71,466.9	29.8%
Q4 2029 / Model assumption	249,647.8	106,928.0	32,123.8	74,355.4	29.8%
Q1 2030 / Model assumption	249,647.8	106,928.0	32,123.8	74,355.4	29.8%
Q2 2030 / Model assumption	241,927.8	107,383.8	32,330.4	74,603.1	30.8%
Q3 2030 / Model assumption	262,965.0	116,721.5	35,076.5	81,155.1	30.9%
Q4 2030 / Model assumption	273,483.6	121,390.4	36,449.6	84,431.2	30.9%

The complete ceiling path

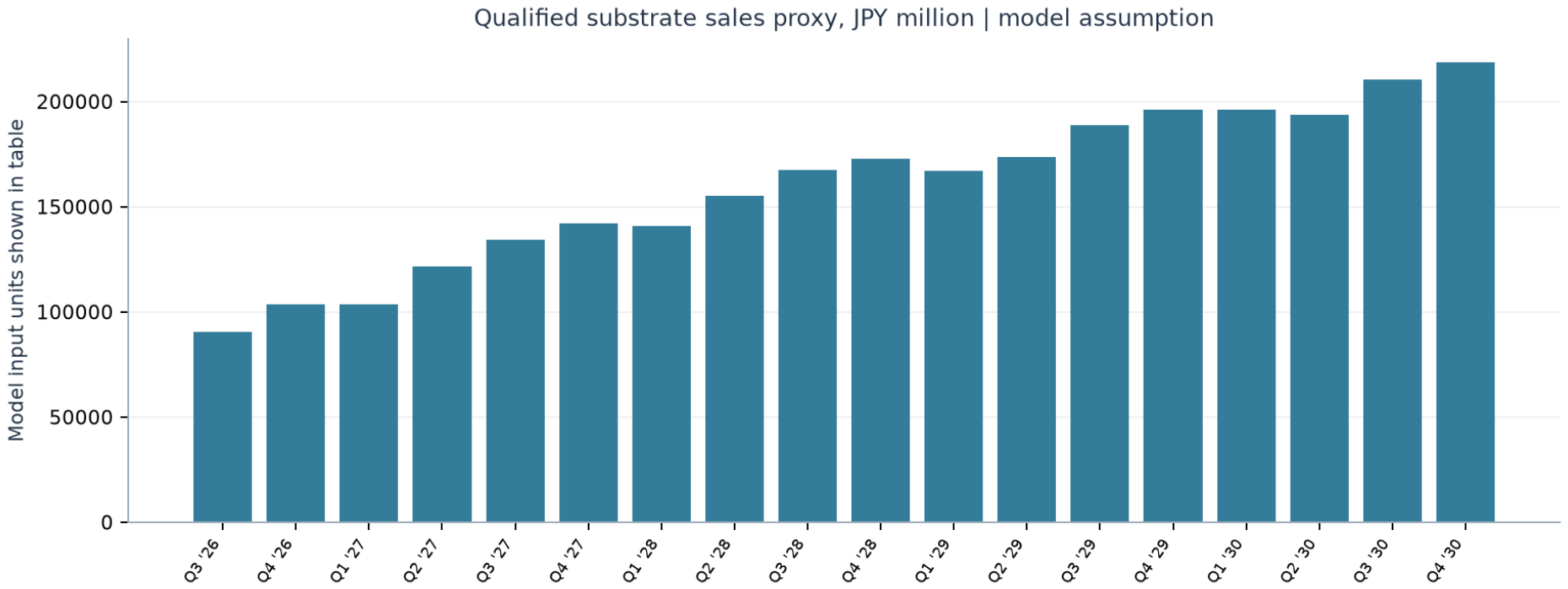


Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	142,940.1	20x	590.769	5,129.09
Q4 2026	Q4 2026 to Q3 2027	167,767.9	20x	591.138	5,998.85
Q1 2027	Q1 2027 to Q4 2027	187,808.1	20x	591.507	6,719.58
Q2 2027	Q2 2027 to Q1 2028	207,004.4	20x	591.876	7,403.16
Q3 2027	Q3 2027 to Q2 2028	221,649.2	20x	592.246	7,943.18
Q4 2027	Q4 2027 to Q3 2028	235,072.8	20x	592.616	8,437.07
Q1 2028	Q1 2028 to Q4 2028	246,284.3	20x	592.986	8,867.71

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q2 2028	Q2 2028 to Q1 2029	254,153.9	20x	593.356	9,174.29
Q3 2028	Q3 2028 to Q2 2029	259,291.2	20x	593.726	9,378.08
Q4 2028	Q4 2028 to Q3 2029	265,881.3	20x	594.097	9,624.49
Q1 2029	Q1 2029 to Q4 2029	273,781.5	20x	594.468	9,928.36
Q2 2029	Q2 2029 to Q1 2030	285,867.4	20x	594.839	10,365.50
Q3 2029	Q3 2029 to Q2 2030	294,780.6	20x	595.211	10,715.23
Q4 2029	Q4 2029 to Q3 2030	304,468.9	20x	595.582	11,081.84
Q1 2030	Q1 2030 to Q4 2030	314,544.7	20x	595.954	11,475.39

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Qualified substrate sales proxy, JPY million	Status
Q3 2026	90,478.000	Model guidance-calibrated; economic depreciation included
Q4 2026	103,500.000	Model guidance-calibrated; economic depreciation included
Q1 2027	103,500.000	Model guidance-calibrated; economic depreciation included
Q2 2027	121,821.800	Model assumption
Q3 2027	134,411.500	Model assumption
Q4 2027	142,071.956	Model assumption
Q1 2028	140,939.962	Model assumption
Q2 2028	155,308.985	Model assumption

Quarter	Qualified substrate sales proxy, JPY million	Status
Q3 2028	167,464.429	Model assumption
Q4 2028	172,759.333	Model assumption
Q1 2029	167,144.640	Model assumption
Q2 2029	173,692.320	Model assumption
Q3 2029	188,796.000	Model assumption
Q4 2029	196,347.840	Model assumption
Q1 2030	196,347.840	Model assumption
Q2 2030	193,627.800	Model assumption
Q3 2030	210,465.000	Model assumption
Q4 2030	218,883.600	Model assumption

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	IC package substrates	90,478.0	44.5%	40,262.7
Q3 2026	Ceramics	18,635.0	25.0%	4,658.8
Q3 2026	Other external business	21,168.0	28.0%	5,927.0
Q4 2026	IC package substrates	103,500.0	44.5%	46,057.5
Q4 2026	Ceramics	20,500.0	25.0%	5,125.0
Q4 2026	Other external business	24,250.0	28.0%	6,790.0
Q1 2027	IC package substrates	103,500.0	44.5%	46,057.5
Q1 2027	Ceramics	20,500.0	25.0%	5,125.0
Q1 2027	Other external business	24,250.0	28.0%	6,790.0
Q2 2027	IC package substrates	115,000.0	46.0%	52,900.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2027	Ceramics	20,700.0	25.0%	5,175.0
Q2 2027	Other external business	23,000.0	28.0%	6,440.0
Q3 2027	IC package substrates	125,000.0	46.0%	57,500.0
Q3 2027	Ceramics	22,500.0	25.0%	5,625.0
Q3 2027	Other external business	25,000.0	28.0%	7,000.0
Q4 2027	IC package substrates	130,000.0	46.0%	59,800.0
Q4 2027	Ceramics	23,400.0	25.0%	5,850.0
Q4 2027	Other external business	26,000.0	28.0%	7,280.0
Q1 2028	IC package substrates	130,000.0	46.0%	59,800.0
Q1 2028	Ceramics	23,400.0	25.0%	5,850.0
Q1 2028	Other external business	26,000.0	28.0%	7,280.0
Q2 2028	IC package substrates	142,600.0	46.5%	66,309.0
Q2 2028	Ceramics	21,390.0	26.0%	5,561.4
Q2 2028	Other external business	24,150.0	28.0%	6,762.0
Q3 2028	IC package substrates	155,000.0	46.5%	72,075.0
Q3 2028	Ceramics	23,250.0	26.0%	6,045.0
Q3 2028	Other external business	26,250.0	28.0%	7,350.0
Q4 2028	IC package substrates	161,200.0	46.5%	74,958.0
Q4 2028	Ceramics	24,180.0	26.0%	6,286.8
Q4 2028	Other external business	27,300.0	28.0%	7,644.0
Q1 2029	IC package substrates	161,200.0	46.5%	74,958.0
Q1 2029	Ceramics	24,180.0	26.0%	6,286.8
Q1 2029	Other external business	27,300.0	28.0%	7,644.0
Q2 2029	IC package substrates	165,600.0	47.0%	77,832.0
Q2 2029	Ceramics	22,310.0	26.5%	5,912.2

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2029	Other external business	24,840.0	28.0%	6,955.2
Q3 2029	IC package substrates	180,000.0	47.0%	84,600.0
Q3 2029	Ceramics	24,250.0	26.5%	6,426.2
Q3 2029	Other external business	27,000.0	28.0%	7,560.0
Q4 2029	IC package substrates	187,200.0	47.0%	87,984.0
Q4 2029	Ceramics	25,220.0	26.5%	6,683.3
Q4 2029	Other external business	28,080.0	28.0%	7,862.4
Q1 2030	IC package substrates	187,200.0	47.0%	87,984.0
Q1 2030	Ceramics	25,220.0	26.5%	6,683.3
Q1 2030	Other external business	28,080.0	28.0%	7,862.4
Q2 2030	IC package substrates	184,000.0	48.5%	89,240.0
Q2 2030	Ceramics	23,000.0	27.0%	6,210.0
Q2 2030	Other external business	25,300.0	29.0%	7,337.0
Q3 2030	IC package substrates	200,000.0	48.5%	97,000.0
Q3 2030	Ceramics	25,000.0	27.0%	6,750.0
Q3 2030	Other external business	27,500.0	29.0%	7,975.0
Q4 2030	IC package substrates	208,000.0	48.5%	100,880.0
Q4 2030	Ceramics	26,000.0	27.0%	7,020.0
Q4 2030	Other external business	28,600.0	29.0%	8,294.0

Operating-cost derivation

Quarter	R&D fully expensed	Selling and administration	Inactive-factory depreciation below statutory OP, included economically
Q3 2026	6,500.0	16,728.5	834.0
Q4 2026	6,760.0	14,962.5	834.0
Q1 2027	6,760.0	14,962.5	834.0
Q2 2027	6,670.0	15,180.0	750.0
Q3 2027	7,250.0	16,500.0	750.0
Q4 2027	7,540.0	17,160.0	750.0
Q1 2028	7,540.0	17,160.0	750.0
Q2 2028	7,820.0	16,790.0	750.0
Q3 2028	8,500.0	18,250.0	750.0
Q4 2028	8,840.0	18,980.0	750.0
Q1 2029	8,840.0	18,980.0	750.0
Q2 2029	8,970.0	17,940.0	750.0
Q3 2029	9,750.0	19,500.0	750.0
Q4 2029	10,140.0	20,280.0	750.0
Q1 2030	10,140.0	20,280.0	750.0
Q2 2030	9,890.0	20,700.0	750.0
Q3 2030	10,750.0	22,500.0	750.0
Q4 2030	11,180.0	23,400.0	750.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Weighted OP below is after the stated minority operating-profit attribution. Conditional gross profit and expenses remain consolidated figures.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	QUALIFIED OUTPUT	55%	0.0	0.0	0.0	0.0
Q3 2026	SCARCITY PRICE	60%	0.0	0.0	0.0	0.0
Q3 2026	QUALIFICATION DELAY	30%	-0.0	-0.0	-0.0	0.0
Q4 2026	QUALIFIED OUTPUT	55%	0.0	0.0	0.0	0.0
Q4 2026	SCARCITY PRICE	60%	0.0	0.0	0.0	0.0
Q4 2026	QUALIFICATION DELAY	30%	-0.0	-0.0	-0.0	0.0
Q1 2027	QUALIFIED OUTPUT	55%	0.0	0.0	0.0	0.0
Q1 2027	SCARCITY PRICE	60%	0.0	0.0	0.0	0.0
Q1 2027	QUALIFICATION DELAY	30%	-0.0	-0.0	-0.0	0.0
Q2 2027	QUALIFIED OUTPUT	55%	4,600.0	1,932.0	460.0	804.7
Q2 2027	SCARCITY PRICE	60%	8,303.0	7,057.6	830.3	3,713.9
Q2 2027	QUALIFICATION DELAY	30%	-2,300.0	-1,035.0	-115.0	-274.3
Q3 2027	QUALIFIED OUTPUT	55%	5,000.0	2,100.0	500.0	874.7
Q3 2027	SCARCITY PRICE	60%	12,352.5	10,499.6	1,235.3	5,525.3
Q3 2027	QUALIFICATION DELAY	30%	-2,500.0	-1,125.0	-125.0	-298.2
Q4 2027	QUALIFIED OUTPUT	55%	5,200.0	2,184.0	520.0	909.7
Q4 2027	SCARCITY PRICE	60%	16,653.3	14,155.3	1,665.3	7,449.0
Q4 2027	QUALIFICATION DELAY	30%	-2,600.0	-1,170.0	-130.0	-310.1
Q1 2028	QUALIFIED OUTPUT	55%	5,200.0	2,184.0	520.0	909.7
Q1 2028	SCARCITY PRICE	60%	14,766.6	12,551.6	1,476.7	6,605.1

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2028	QUALIFICATION DELAY	30%	-2,600.0	-1,170.0	-130.0	-310.1
Q2 2028	QUALIFIED OUTPUT	55%	9,200.0	3,864.0	920.0	1,609.5
Q2 2028	SCARCITY PRICE	60%	14,128.3	12,009.1	1,412.8	6,319.6
Q2 2028	QUALIFICATION DELAY	30%	-2,760.0	-1,242.0	-138.0	-329.2
Q3 2028	QUALIFIED OUTPUT	55%	10,000.0	4,200.0	1,000.0	1,749.4
Q3 2028	SCARCITY PRICE	60%	13,107.4	11,141.3	1,310.7	5,862.9
Q3 2028	QUALIFICATION DELAY	30%	-3,000.0	-1,350.0	-150.0	-357.8
Q4 2028	QUALIFIED OUTPUT	55%	10,400.0	4,368.0	1,040.0	1,819.4
Q4 2028	SCARCITY PRICE	60%	11,292.2	9,598.4	1,129.2	5,051.0
Q4 2028	QUALIFICATION DELAY	30%	-3,120.0	-1,404.0	-156.0	-372.2
Q1 2029	QUALIFIED OUTPUT	55%	10,400.0	4,368.0	1,040.0	1,819.4
Q1 2029	SCARCITY PRICE	60%	1,934.4	1,644.2	193.4	865.3
Q1 2029	QUALIFICATION DELAY	30%	-3,120.0	-1,404.0	-156.0	-372.2
Q2 2029	QUALIFIED OUTPUT	55%	13,800.0	5,796.0	1,380.0	2,414.2
Q2 2029	SCARCITY PRICE	60%	1,987.2	1,689.1	198.7	888.9
Q2 2029	QUALIFICATION DELAY	30%	-2,300.0	-1,035.0	-115.0	-274.3
Q3 2029	QUALIFIED OUTPUT	55%	15,000.0	6,300.0	1,500.0	2,624.2
Q3 2029	SCARCITY PRICE	60%	2,160.0	1,836.0	216.0	966.2
Q3 2029	QUALIFICATION DELAY	30%	-2,500.0	-1,125.0	-125.0	-298.2
Q4 2029	QUALIFIED OUTPUT	55%	15,600.0	6,552.0	1,560.0	2,729.1
Q4 2029	SCARCITY PRICE	60%	2,246.4	1,909.4	224.6	1,004.8

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2029	QUALIFICATION DELAY	30%	-2,600.0	-1,170.0	-130.0	-310.1
Q1 2030	QUALIFIED OUTPUT	55%	15,600.0	6,552.0	1,560.0	2,729.1
Q1 2030	SCARCITY PRICE	60%	2,246.4	1,909.4	224.6	1,004.8
Q1 2030	QUALIFICATION DELAY	30%	-2,600.0	-1,170.0	-130.0	-310.1
Q2 2030	QUALIFIED OUTPUT	55%	16,100.0	6,762.0	1,610.0	2,816.6
Q2 2030	SCARCITY PRICE	60%	2,208.0	1,876.8	220.8	987.6
Q2 2030	QUALIFICATION DELAY	30%	-1,840.0	-828.0	-92.0	-219.5
Q3 2030	QUALIFIED OUTPUT	55%	17,500.0	7,350.0	1,750.0	3,061.5
Q3 2030	SCARCITY PRICE	60%	2,400.0	2,040.0	240.0	1,073.5
Q3 2030	QUALIFICATION DELAY	30%	-2,000.0	-900.0	-100.0	-238.6
Q4 2030	QUALIFIED OUTPUT	55%	18,200.0	7,644.0	1,820.0	3,184.0
Q4 2030	SCARCITY PRICE	60%	2,496.0	2,121.6	249.6	1,116.5
Q4 2030	QUALIFICATION DELAY	30%	-2,080.0	-936.0	-104.0	-248.1

Consolidated profit to the common shareholder claim

Minority attribution is an earnings allocation, not operating expense or a fixed book-value deduction. Its rate is a disclosed model proxy and moves with reference profit and each probability-weighted change.

Quarter	Consolidated OP	Minority rate	Minority allocation	Owner OP
Q3 2026	26,786.0	0.6%	160.7	26,625.3
Q4 2026	35,416.0	0.6%	212.5	35,203.5
Q1 2027	35,416.0	0.6%	212.5	35,203.5
Q2 2027	46,185.0	0.6%	277.1	45,907.8

Quarter	Consolidated OP	Minority rate	Minority allocation	Owner OP
Q3 2027	51,763.6	0.6%	310.6	51,453.0
Q4 2027	55,577.2	0.6%	333.5	55,243.7
Q1 2028	54,728.2	0.6%	328.4	54,399.8
Q2 2028	60,918.1	0.6%	365.5	60,552.6
Q3 2028	65,268.3	0.6%	391.6	64,876.7
Q4 2028	66,856.3	0.6%	401.1	66,455.2
Q1 2029	62,645.3	0.6%	375.9	62,269.4
Q2 2029	66,086.4	0.6%	396.5	65,689.9
Q3 2029	71,898.2	0.6%	431.4	71,466.9
Q4 2029	74,804.2	0.6%	448.8	74,355.4
Q1 2030	74,804.2	0.6%	448.8	74,355.4
Q2 2030	75,053.4	0.6%	450.3	74,603.1
Q3 2030	81,645.0	0.6%	489.9	81,155.1
Q4 2030	84,940.8	0.6%	509.6	84,431.2

Adopted funding and financial claims

This saved funding scenario includes cash taxes, interest, capital investment, working capital, distributions and any separately specified closure cash. New borrowing is a modeled requirement, not confirmed lending. Probability controls hold this schedule fixed; an adopted operating revision must rebuild funding. Financial claims equal debt including leases less cash. Operating cash below includes net advance receipts less utilization and lease principal. Leases are not added again. Existing and future customer advance liabilities are consumed as orders are delivered; the separate table gives that reconciliation. The modeled borrowing requirement is not committed funding.

Quarter	Operating cash	Investment	New borrowing	Debt repaid	End debt	End cash
Q3 2026	31,762.4	64,621.0	0.0	121,550.0	0.0	211,564.6
Q4 2026	35,977.5	64,621.0	0.0	0.0	0.0	182,776.6
Q1 2027	39,211.9	64,621.0	0.0	0.0	0.0	151,318.9
Q2 2027	60,175.8	40,000.0	0.0	0.0	0.0	171,306.4

Quarter	Operating cash	Investment	New borrowing	Debt repaid	End debt	End cash
Q3 2027	64,128.1	40,000.0	0.0	0.0	0.0	190,789.7
Q4 2027	67,950.6	40,000.0	0.0	0.0	0.0	218,513.6
Q1 2028	69,297.9	40,000.0	0.0	0.0	0.0	241,669.4
Q2 2028	69,911.7	40,000.0	0.0	0.0	0.0	271,332.6
Q3 2028	71,860.7	40,000.0	0.0	0.0	0.0	298,482.4
Q4 2028	74,531.8	40,000.0	0.0	0.0	0.0	332,741.4
Q1 2029	73,988.4	40,000.0	0.0	0.0	0.0	360,540.7
Q2 2029	55,668.6	33,750.0	0.0	0.0	0.0	382,189.6
Q3 2029	56,563.1	33,750.0	0.0	0.0	0.0	400,253.7
Q4 2029	60,267.5	33,750.0	0.0	0.0	0.0	426,466.0
Q1 2030	61,995.8	33,750.0	0.0	0.0	0.0	448,458.2
Q2 2030	69,054.9	35,000.0	0.0	0.0	0.0	482,206.9
Q3 2030	68,360.9	35,000.0	0.0	0.0	0.0	510,767.9
Q4 2030	72,495.4	35,000.0	0.0	0.0	0.0	547,916.7

Common operating claim

Minority operating earnings are allocated within existing consolidated group profit and deducted once before valuation. These normalized allocations are model proxies. The lease column includes only claims outside gross debt, avoiding a second deduction for leases already in debt.

Quarter	Consolidated OP	Minority OP	Common OP	Extra lease claim	Net financial claim
Q3 2026	26,786.0	160.7	26,625.3	0.0	-211,564.6
Q4 2026	35,416.0	212.5	35,203.5	0.0	-182,776.6
Q1 2027	35,416.0	212.5	35,203.5	0.0	-151,318.9
Q2 2027	46,185.0	277.1	45,907.8	0.0	-171,306.4
Q3 2027	51,763.6	310.6	51,453.0	0.0	-190,789.7
Q4 2027	55,577.2	333.5	55,243.7	0.0	-218,513.6

Quarter	Consolidated OP	Minority OP	Common OP	Extra lease claim	Net financial claim
Q1 2028	54,728.2	328.4	54,399.8	0.0	-241,669.4
Q2 2028	60,918.1	365.5	60,552.6	0.0	-271,332.6
Q3 2028	65,268.3	391.6	64,876.7	0.0	-298,482.4
Q4 2028	66,856.3	401.1	66,455.2	0.0	-332,741.4
Q1 2029	62,645.3	375.9	62,269.4	0.0	-360,540.7
Q2 2029	66,086.4	396.5	65,689.9	0.0	-382,189.6
Q3 2029	71,898.2	431.4	71,466.9	0.0	-400,253.7
Q4 2029	74,804.2	448.8	74,355.4	0.0	-426,466.0
Q1 2030	74,804.2	448.8	74,355.4	0.0	-448,458.2
Q2 2030	75,053.4	450.3	74,603.1	0.0	-482,206.9
Q3 2030	81,645.0	489.9	81,155.1	0.0	-510,767.9
Q4 2030	84,940.8	509.6	84,431.2	0.0	-547,916.7

Customer advance cash and remaining obligations

Cash received in advance funds investment but is consumed as customers receive products. It is neither extra revenue nor permanent excess cash. These timing assumptions require confirmation against delivery contracts.

Quarter	Opening advances	Cash received	Used on delivery	Closing advances
Q3 2026	154,526.0	0.0	5,000.0	149,526.0
Q4 2026	149,526.0	0.0	5,000.0	144,526.0
Q1 2027	144,526.0	0.0	5,000.0	139,526.0
Q2 2027	139,526.0	20,000.0	12,500.0	147,026.0
Q3 2027	147,026.0	20,000.0	12,500.0	154,526.0
Q4 2027	154,526.0	20,000.0	12,500.0	162,026.0
Q1 2028	162,026.0	20,000.0	12,500.0	169,526.0
Q2 2028	169,526.0	20,000.0	18,750.0	170,776.0

Quarter	Opening advances	Cash received	Used on delivery	Closing advances
Q3 2028	170,776.0	20,000.0	18,750.0	172,026.0
Q4 2028	172,026.0	20,000.0	18,750.0	173,276.0
Q1 2029	173,276.0	20,000.0	18,750.0	174,526.0
Q2 2029	174,526.0	0.0	21,250.0	153,276.0
Q3 2029	153,276.0	0.0	21,250.0	132,026.0
Q4 2029	132,026.0	0.0	21,250.0	110,776.0
Q1 2030	110,776.0	0.0	21,250.0	89,526.0
Q2 2030	89,526.0	0.0	18,750.0	70,776.0
Q3 2030	70,776.0	0.0	18,750.0	52,026.0
Q4 2030	52,026.0	0.0	18,750.0	33,276.0

Enterprise-to-equity reconciliation

20x rolling quarter-plus-next-three fully expensed operating profit attributable to common shareholders, including idle-factory depreciation, less end-window net financial claims, divided by matched end-window if-converted shares on the October 2026 split basis.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	-171,306.4	0.0	-171,306.4	5,129.09
Q4 2026	Q3 2027	-190,789.7	0.0	-190,789.7	5,998.85
Q1 2027	Q4 2027	-218,513.6	0.0	-218,513.6	6,719.58
Q2 2027	Q1 2028	-241,669.4	0.0	-241,669.4	7,403.16
Q3 2027	Q2 2028	-271,332.6	0.0	-271,332.6	7,943.18
Q4 2027	Q3 2028	-298,482.4	0.0	-298,482.4	8,437.07
Q1 2028	Q4 2028	-332,741.4	0.0	-332,741.4	8,867.71
Q2 2028	Q1 2029	-360,540.7	0.0	-360,540.7	9,174.29
Q3 2028	Q2 2029	-382,189.6	0.0	-382,189.6	9,378.08
Q4 2028	Q3 2029	-400,253.7	0.0	-400,253.7	9,624.49

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q1 2029	Q4 2029	-426,466.0	0.0	-426,466.0	9,928.36
Q2 2029	Q1 2030	-448,458.2	0.0	-448,458.2	10,365.50
Q3 2029	Q2 2030	-482,206.9	0.0	-482,206.9	10,715.23
Q4 2029	Q3 2030	-510,767.9	0.0	-510,767.9	11,081.84
Q1 2030	Q4 2030	-547,916.7	0.0	-547,916.7	11,475.39

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

QUALIFIED_OUTPUT

probability: 0.55

Conditional outcome: Incremental qualified substrate revenue above reference20/40/60/70bnJPY FY2027-30; FY2027 bounded10-30bn, FY2028 20-60bn.

reference overlap: Reference already500/620/720/800bn electronics; embeds2.3x/2.8x announced capacity index and current contracts. Only better productive output/mix enters; do not multiply capacity by SAP load again.

financial bridge: 55%x incremental sales x(42%GP minus10%qualification/support); FY2027weightedOP3.52bn.

rationale: StableCell8, reclaimedcapacity andglasscloth supplierqualification supportextraoutput;Gama materialcontribution beginsFY2028.

counter evidence: Humanresources andtoolleadtime cap expansion throughFY2028; outputnotnameplate.

trigger: Quarterlygood-unit shipments andGamayield

SCARCITY_PRICE

probability: 0.6

Conditional outcome: Retain the old3% premium and recognize50% of the residual above it from the10%QoQ industry lower-bound path. Preserve40% reference-substrate new/reset cohort and existing eligibility fromQ2 2027. Conditional premium18.05/24.705/32.0255% inQ2/Q3/Q4 2027;2028 extra-above3% fades87.5/75/62.5/50%;2029-30 old3% only. Residual-capture bounds25-75%.

reference overlap: IssuerFY2026 guidance already includesJPY26.5bn ASP/mix OP uplift. Reference area/process/output and the qualified-output branch are unchanged. The50% residual reserve is a bounded proxy for unknown referenceASP/mix overlap and customer reset capture, not observed50% contracts. No Taiwan3x per-piece-price multiplier.

financial bridge: Reference IC package substrate sales ×40% eligible ×selected conditional premium;85% GP less10% support expense;60% probability once;0.6% minority OP once. Rerun existing taxes,NWC,advances depletion,capex,debt and cash before end-window claims/shares valuation.

source: TrendForce WeeklyRadar004Oct5 repeated005Oct12; existing May12/Aug5 issuer ASP evidence and SemiAnalysisOct12 unit-denominator counter-evidence.

counter evidence: Customer-funded investments and long relationships constrain reset capture. Per-piece Taiwanese ASP includes body-size/mix; Japanese per-area series has a different denominator. No threefold like-for-like Ibiden price rise is inferred. Competing qualified capacity and input/yield costs remain risks.

trigger: Issuer quarterlyASP versus material-pass-through bridge, reset timing/cohort, accepted good output and advance/cash conversion.

probability reason: Root retains existing60% economic probability; later repetition is not independent evidence.50% residual recognition is a25-75% bounded proxy.

QUALIFICATION_DELAY

probability: 0.3

Conditional outcome: Further10%delay onFY2027incremental100bnsubstratecohort andFY2028 120bn;bounds0-20%.

reference overlap: ReferencealreadyuseslaterGamatiming andconservativeutilization;thisisadditional slippageonly.

financial bridge: 30%x lostrevenue x40%netOPcontribution;FY2027minus1.2bnOP.

counter evidence: Qualifiedthird/fourthglassclothvendors reducetheoriginalbottleneck.

trigger: Hiring,materialacceptance,Cell6/Cell8yield

SUBSTRATE_GEOMETRY

probability: 1

Conditional outcome: Issuerroadmap90x90mm2026to110x110mm2028;SAP10-X-10to12-X-12;AIproductionload1.8xto2.5xCY2024.

reference overlap: 100%engineering explanationofexistingqualified-outputandpricingbranches;noextramultiplier.

financial bridge: Zeroindependentincrement;largerareatakesmorepanelspaceandlowergoodyield,notdirectsales.

trigger: Packagequalificationandaccepted area

CURRENT_GUIDANCE

probability: 1

Conditional outcome: FY2026guide550bnrevenue127bnstatutoryOP;economicmodeldeductsfactoryidledepreciation3.336bn.

reference overlap: 100%;do not applyMaytoAugustprice upliftagain.

financial bridge: ExistingQ1statutoryOP26.88bn +next3quarter100.12bn=127bn;econprofit123.664bnafteridleD&A.

trigger: Novemberresults

Remaining bounded uncertainties

- June2031CBface62bn inferredfromcarrying64.248bnandconvertedshares;validateexactfaceinNovember. ±1bnface altersdilutedshares0.446M. Carryingliabilityremovedexactly64.248bn, notface.
- Juneleasecurrentobligationnotisolated;121.550bnnonCBdebt includes497mcurrentleaseproxy plus53mknownnoncurrent;bound±0.5bn.
- Customerprepaymentutilization/acceptanceterms undisclosed;18qcashmodel tracksnewreceiptsandburnseparately, withno second liabilitydeduction.
- ProductGM,yield,ASP/cohort andminorityOP0.6% are boundedestimates; minorityrange0.3-1.2%.
- MajorGPU/ASICcustomeridentityandcommercialexclusivitynotdisclosed inthesescopedprimarymaterials.
- Like-for-like referenceASP and actual eligible reset share are not disclosed.50% residual capture is a25-75% bounded proxy. IndustryforecastendsQ4 2027;2028fadeisassumed. SemiAnalysistextread;three original charts pending, so no chart readings/Taiwan3x company premium.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q1 2026 financial | https://www.ibiden.com/ir/items/tannshinn2026Q1.pdf | Archived SHA-256: 5412ef87b5323975e05e99d32123ddc0139f2df88d56f1d12bc2aaac37e14015

[2] Q1 2026 deck | https://www.ibiden.com/ir/items/en_kessannsetsumei2026Q1.pdf | Archived SHA-256: 179c089d54dbda376ebcdccd06ce0d950afb0f4135a568f036e95c95038942cd

[3] Q1 2026 QA | https://www.ibiden.com/ir/items/en_QA_FY2026Q1.pdf | Archived SHA-256: 47514a69f44bcd4e87011cc109714b7f8e0644c9e7c812e77c3a0853479553fd

[4] FY2025 QA | https://www.ibiden.com/ir/items/en_QA_FY25Q4.pdf | Archived SHA-256: 1931d087c1d89080c1bd95cf9007685f31842346bc76d89e21fa10a64bdebe47

[5] Split 2026 | https://www.ibiden.com/ir/items/kabushikibunkatsu2026Q1.pdf | Archived SHA-256: a88a6da16dadeb874c69f01a91b370312e074db9f360754ac9700c29e12bae3c

[6] FY2025 deck | https://www.ibiden.com/ir/items/en_kessannsetsumeiFY2025.pdf | Archived SHA-256: f797d2d0981a2923a068ad16724b08a0a90a90c76bd179eaba0006590353f34a

[7] October9 Tokyo post-split regular close | 2026-10-09 | https://www.traders.co.jp/stocks/61_4062/

[8] TrendForce WeeklyRadar004: sameABF10-15%QoQ forecast | 2026-10-05 | https://insights.trendforce.com/p/weekly-radar-004 | Archived SHA-256: f2298b3054ec4cbfec09ebb2919ae7cc43a71d60d6481fb4e9b4132793a5d4ec

[9] TrendForce WeeklyRadar005 original full chart; unchangedABF forecast | 2026-10-12 | https://insights.trendforce.com/p/weekly-radar-005 | Archived SHA-256: 88b46fb02a530f18619c8cd587d090aacace902e8bd85b34f451af383c25d87e

[10] SemiAnalysis five-post ASP denominator thread | 2026-10-12T15:01:22Z | https://x.com/SemiAnalysis_/status/2109660707755077654 | Archived SHA-256: 91449ca846dc239a9520507191ea5a8d76d7fbbba791ecc563f9321cddbd6189